Sagility Ltd — Concall Tracker

Earning-trigger & management-consistency read · Filed under Q1 2027 · Coverage through Q4 FY26 (call 12 May 2026)

This is not investment advice. Do your own due diligence. All figures are as stated by management on the calls / in Screener snapshot tables.

1. Snapshot

What the business does: Sagility is a pure-play services company for the **US healthcare industry**. It runs the back-office and clinical operations of American health insurers (called **"payers"**) and, to a smaller degree, hospitals (**"providers"**) — processing insurance claims, handling member and provider phone/chat support, doing clinical/utilisation reviews, payment-integrity checks and revenue-cycle billing. Almost all the work is delivered from low-cost centres in India and the Philippines, and it is paid recurring fees (per staff-member, per transaction, per insured-member-per-month, or on an outcome/savings-share basis). It listed in Nov 2024; it was earlier the healthcare arm of Hinduja Global Solutions and is majority-owned by private-equity firm EQT.

MARKET CAP
₹18,922 cr
~₹40/share — a mid-cap.

FY26 REVENUE (CONSOLIDATED)
₹7,193 cr
$814m; +29% YoY (+23.6% constant-currency). Total group sales grew nearly a third.

FY26 ORGANIC GROWTH
~15% cc
Underlying growth stripping out the BroadPath acquisition & the weak rupee.

FY26 ADJ. EBITDA
₹1,820 cr
25.3% margin — a quarter of every rupee of sales is operating profit (before interest, tax, depreciation, one-offs). Healthy for a BPO.

FY26 ADJ. NET PROFIT
₹1,131 cr
+39.5% YoY, 15.7% margin — grew faster than sales as interest fell with debt repayment.

DEBT
≈ Net cash
Only ~₹800 cr promoter/ECB loan left, being repaid; targeted fully cleared by FY27. Cash ₹904 cr.

Important reading note on Screener's tables. Screener's default financial tables for this ticker show the **standalone parent** entity (FY26 revenue ~₹1,971 cr, net profit ~₹351 cr), which captures only part of the group and understates the real business by roughly 3.6x. The **consolidated** group figures reported on the earnings calls (used above) are the meaningful ones. Consequently Screener's headline **Stock P/E of ~52 and ROCE of ~5%** are computed on the standalone numbers and are misleading — on consolidated **adjusted** earnings the P/E is far lower (~17x) and management cites an adjusted ROCE above 50%. Treat the standalone snapshot with care.

2. Concall coverage

Sagility is a recent IPO (Nov 2024), so the full history is short — **7 quarterly calls plus one Investor & Analyst Day, spanning ~1.5 years.** All were read in full for this first report (no prior report exists in the archive). The consistency read is therefore over a shorter window than usual — but, as Section 4 shows, unusually clean within it.

Quarter / event	Call date	Read?
Q2 FY25 (qtr ended Sep 2024) — first post-IPO call	27 Nov 2024	Yes
Q3 FY25 (qtr ended Dec 2024)	5 Feb 2025	Yes
Q4 & FY25 (year ended Mar 2025)	15 May 2025	Yes
Q1 FY26 (qtr ended Jun 2025)	30 Jul 2025	Yes
Q2 FY26 (qtr ended Sep 2025)	29 Oct 2025	Yes
Q3 FY26 (qtr ended Dec 2025)	28 Jan 2026	Yes
Investor & Analyst Day (strategy day)	25 Mar 2026	Yes

Q4 & FY26 (year ended Mar 2026) — latest ★	**12 May 2026**	**Yes**

Note: the Q1 FY27 (qtr ended Jun 2026) call had not yet been published on Screener as of this report, so the freshest available call is Q4 FY26.

2b. Latest concall highlights ★ — Q4 & FY26 (call 12 May 2026)

- **Record year, and a guidance beat.** Q4 revenue ₹2,024 cr (+29.1% YoY, +22.2% constant-currency); full-year FY26 revenue ₹7,193 cr, +29% YoY. Full-year constant-currency growth of 23.6% **beat the 22.5% management had guided just one quarter earlier** — sales came in ahead of their own promise.
- **Margins held above target.** FY26 adjusted EBITDA margin 25.3% (above the ~25% guided); adjusted net profit ₹1,131 cr, up 39.5%. The margin is ~1% lower than FY25 only because of the full-year drag from the lower-margin BroadPath acquisition.
- **First FY27 guidance issued: low double-digit constant-currency growth** and a **24–25% EBITDA margin** (likely the upper end if the rupee stays weak). Deal timing on big contracts is "a little unpredictable," so they guided conservatively.
- **Pipeline shifting to bigger, AI-led deals.** ~₹570–575 cr of proposals (total contract value) outstanding; ~$130m of cumulative new-order value won across the year. Growth is moving toward large, multi-year "managed-service"/AI-transformation contracts (bigger, stickier, but slower to close).
- **Cash returns began; deleveraging on track.** Maiden dividends (5 paise interim + 10 paise final); debt to be fully repaid by FY27, freeing cash for acquisitions and higher dividends. **New Group CFO Srinivas Mattapalli** has taken over (from Sarvabhouman Srinivasan). Tone: confident.

2c. Business mix & capacity

Payer vs provider: Payers (health insurers) ~**89.7%** of FY26 revenue; providers (hospitals) ~**10.3%** — roughly 9 of every 10 rupees come from serving US insurers.

Domestic vs export: effectively **~100% exports** — every client is in the US and ~94% of delivery is offshore (India + Philippines). There is virtually no India-domestic revenue; this is a dollar-earning export business (a weak rupee helps margins).

"Capacity" = people, not plants. Management doesn't cite a factory-style utilisation %; the relevant gauge is headcount — **46,860 employees** at Mar 2026 (up from ~38,000 at IPO), attrition ~23–27%. The bigger headroom is external: only ~**low-20s% of US payer operations are outsourced today**, so the addressable market is largely untapped. Management expects headcount to grow slower than revenue as AI lifts output per employee. Client concentration is easing — top-3 clients now below 60% of revenue, and clients billing over $20m grew to 9 (from 4 in FY23).

3. Earning-trigger thesis ★

The central driver is a **structural squeeze on US health insurers**. Their medical-loss ratios (the share of premiums paid out as medical claims) have climbed from the low-80s to around 90% amid rising utilisation and tighter reimbursement/regulation. Under that pressure, insurers are outsourcing more of their operations and handing over **larger, end-to-end "cost-takeout" mandates** to specialists like Sagility — often giving away "a larger portion of the pie." Because only ~20% of payer operations are outsourced today, the runway is long. On top of this, Sagility is layering **GenAI/agentic automation and platform-based "Synchrony" managed-service deals** to win bigger, stickier, multi-year contracts — and to defend against AI eroding traditional volumes. Supporting legs: the BroadPath acquisition (mid-market client access + cross-sell), fast-growing clinical services, and a fresh "doubling down" on the under-penetrated provider segment.

Trigger	What management said	Evidence so far	Horizon	Strength
				Strong

US payer cost-pressure → more outsourcing	Structural, multi-year tailwind; clients handing over larger scopes	7 straight quarters of ~15%+ organic constant-currency growth; "rest of book" (ex top-5) growing ~28%	Multi-year	
Large AI-led "managed-service" / Synchrony deals	Deals moving from small work-orders to $20–30m multi-year transformation contracts	Pipeline ₹570–575 cr TCV; ~$130m cumulative order-wins; live case studies — but big deals close slowly and revenue is early	1–3 yrs	**Moderate**
BroadPath — mid-market cross-sell	30+ mid-market clients; large cross-sell white space	30 of FY25's 38 new logos came via BroadPath; some cross-sell wins; still margin-dilutive ~110–150 bps	2–3 yrs	**Moderate**
Provider segment + clinical services	"Doubling down" on providers; clinical is fastest-growing, high-ROI	Provider still only ~10% of revenue (growing off a small base); clinical expanding but not yet material	2–4 yrs	**Unproven / emerging**
GenAI as a net positive (vs a threat)	AI expands the pie and captures retained onshore work, offsetting cannibalisation	Growth stayed double-digit — but AI is already ~150–200 bps of revenue cannibalisation and management says it "will only increase"	Ongoing	**Moderate (two-edged)**

4. Management consistency scorecard

Period / promise	What was promised	What actually happened	Verdict
At IPO / FY25	"Mid-to-teen revenue growth & 24%+ EBITDA margin"	FY25 organic +15.6%; adjusted EBITDA margin 26.4%	Delivered
Through FY25	24–25% steady margin; downplayed a one-off 31% Q3 as pure seasonality	Full-year margin held ~26%; the Q3 seasonal spike reversed exactly as flagged	Delivered
FY26 revenue (raised over the year)	Guidance walked up 20%+ → 21%+ → 22.5% cc	FY26 came in at 23.6% cc — **beat even the raised guidance**	Delivered (beat)
FY26 margin	~24–25% incl. BroadPath dilution	25.3%	Delivered
Deleveraging	Repay all debt by FY27, from internal cash, no equity dilution	On track; debt down to ~₹800 cr, cash building	On-track
Dividend "in a couple of quarters" (said May 2025)	Start returning cash once BroadPath was paid for	Initiated dividends in FY26 (5p interim + 10p final)	Delivered
BroadPath margin lift +600–700 bps over 2–3 yrs	Synergies to raise BroadPath margins	Acquired only Jan 2025 — too early to judge	Too-early
Provider acceleration	Grow the provider segment faster	Still ~10% of revenue; only now "doubling down"	Partly / Too-early
AI cannibalisation disclosure	Be transparent about the downside of AI	Candidly quantified (~1.5–2% now, potentially 4–5% in 2–3 yrs) and kept it in guidance	Delivered (transparent)

Narrative drift: Remarkably little. Across all seven quarters the same leadership told the *same* story — cost-pressure tailwind, low-to-mid-teens organic growth, 24–25% margin, debt gone by FY27 — and met or beat it every single time, even raising the bar mid-year and still clearing it. The story has *evolved sensibly* (adding the AI/Synchrony managed-services layer, mid-market and provider pushes) rather than lurching to a new theme each year, and management has been unusually candid about the AI-cannibalisation downside instead of hiding it. Two honest caveats: (a) the track record is only ~1.5 years long, and (b) the newest and largest growth lever — big AI-led transformation deals — is still mostly a *pipeline*, not delivered revenue. The recent **CFO change** is a minor watch item, though the CEO and strategy are unchanged.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a concrete, structural, still-live driver: US insurers under genuine cost stress are outsourcing more, into a market that is only ~20% penetrated, and Sagility has converted that into seven consecutive quarters of double-digit organic growth. The AI-led "managed-service" shift could enlarge each deal several-fold if it lands at scale. The main qualifications are that the biggest new deals are unproven in the numbers so far, and the business is 100% exposed to US healthcare — so US regulatory/policy shifts (Medicaid cuts, ACA subsidies, Medicare Advantage rates) and AI cannibalisation are the real risks to watch, even though management frames each as a demand tailwind.

Management consistent? → YES

Since listing, management has met or beaten guidance in every quarter, walked FY26 guidance *up* through the year and still beat it, delivered the promised deleveraging, and initiated the dividend it had signalled. The story has stayed steady and evolved logically, and disclosure (including on AI's downside) has been refreshingly straight. The verdict is tempered only by the short ~1.5-year history and a just-changed CFO — not enough to move it off a clear Yes.

Sources: Sagility Ltd earnings-call transcripts (27 Nov 2024, 5 Feb 2025, 15 May 2025, 30 Jul 2025, 29 Oct 2025, 28 Jan 2026, 12 May 2026) and Investor & Analyst Day (25 Mar 2026), via Screener.in; Screener snapshot financial tables. Consolidated figures as stated by management; standalone figures noted where Screener's default tables differ. This is not investment advice — do your own due diligence.